HDFC Bank

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Track: Track A — Banking, NBFCs & Financial Services
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NSE: HDFCBANK · Yahoo: HDFCBANK.NS · Panel: Sep-2023 to Jun-2026 (12 quarters) · Finding the Next Signal — ATMOS 2026

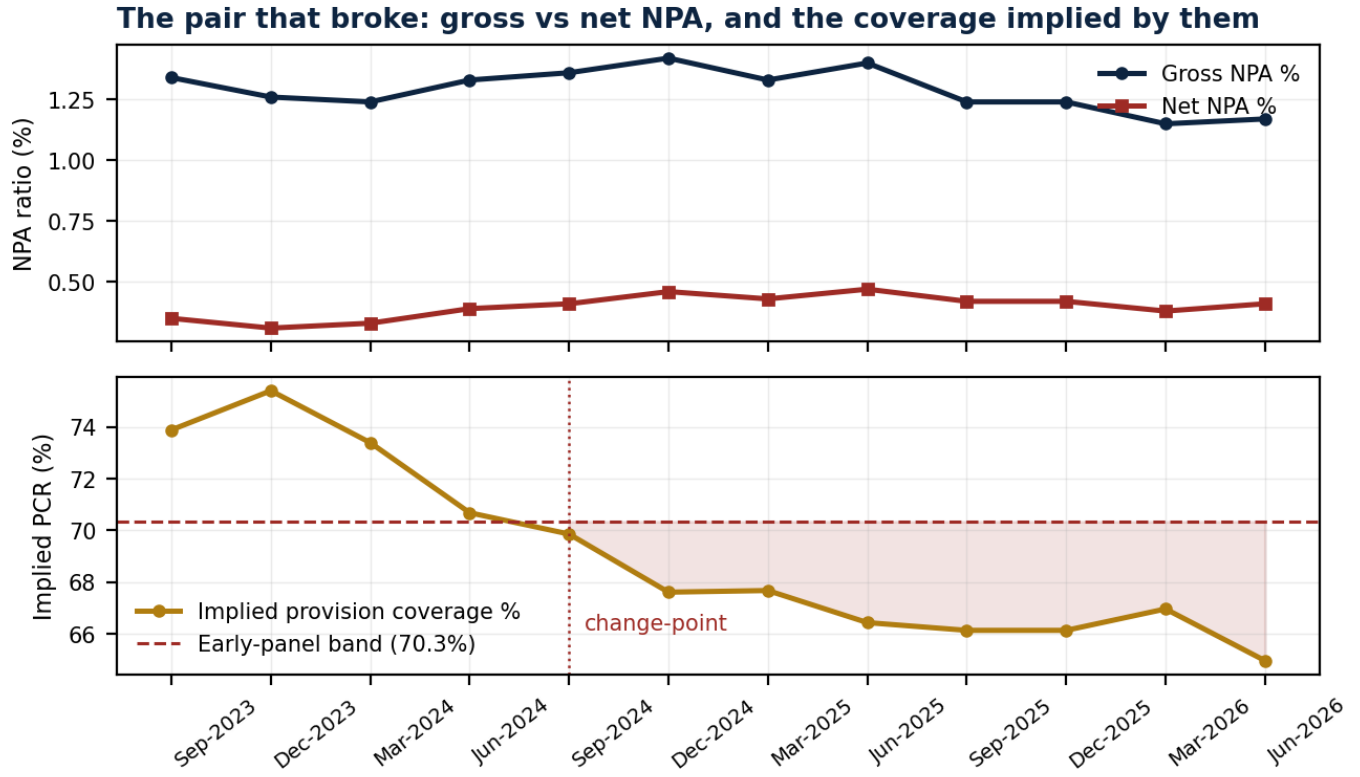
THE DISCOVERY — HDFC Bank's headline asset quality looks healed -- gross NPA has fallen from its 1.42% peak (Dec-2024) to 1.17% (Jun-2026) -- but the cushion underneath it has thinned for 8 straight quarters: the provision coverage implied by the bank's own GNPA/NNPA pair has slid from 73.9% (Sep-2023) to 65.0% (Jun-2026), while net NPA, at 0.41%, is still higher than in every quarter of the first panel year (0.31-0.39%). Over the full panel the gross ratio is down 0.17pp while the net ratio has not fallen at all (0.35% then, 0.41% now) -- the improvement is real, but it is being carried partly by a thinner buffer, not only by cleaner loans.

Evidence strength: MODERATE — 2 independent source classes; divergence persists 8 quarters. Not Strong: the primary numeric trail is a single aggregator parse of the statutory results, and the strongest counterargument cannot be fully separated from public quarterly data.

1 WHY IT MATTERS

- Provision coverage is the shock absorber between slippages and the P&L: at 65.0% implied coverage instead of ~74%, each new rupee of stress needs roughly a third more fresh provisioning to hold net NPA where it is.
- Headline GNPA is the number most trackers anchor on. The GNPA/NNPA pair tells a different, quieter story -- gross stress fell from its peak, yet the *net* bad-loan ratio (0.41%) has not returned to its early-panel range, and filing coverage of the latest quarter shows the absolute net NPA stock still rising year-on-year even as the gross stock shrinks.
- Credit costs are currently flattering earnings: provisions in the latest quarter were a fraction of the year-ago quarter's. If slippages merely normalise, the bank must choose between rebuilding coverage (a P&L drag) and letting net NPA climb (a headline it has spent three years avoiding).
- The drift is slow and persistent rather than a one-quarter event -- implied coverage has been below its early-panel band for 8 consecutive quarters -- which makes it a structural balance-sheet choice, not provisioning noise.

2 NUMBERS — Gross NPA vs net NPA — the provision-coverage gap



Quarter	Gross NPA %	Net NPA %	Implied PCR %	NII (Rs cr)	Net profit (Rs cr)
Sep-2023	1.34	0.35	73.9	27,385	15,976
Dec-2023	1.26	0.31	75.4	28,472	16,373
Mar-2024 †	1.24	0.33	73.4	29,077	16,512
Jun-2024	1.33	0.39	70.7	29,837	16,175
Sep-2024	1.36	0.41	69.9	30,114	16,821
Dec-2024	1.42	0.46	67.6	30,653	16,736
Mar-2025	1.33	0.43	67.7	32,066	17,616
Jun-2025 †	1.40	0.47	66.4	31,438	18,155
Sep-2025	1.24	0.42	66.1	31,552	18,641
Dec-2025	1.24	0.42	66.1	32,615	18,654
Mar-2026	1.15	0.38	67.0	33,082	19,221
Jun-2026	1.17	0.41	65.0	33,534	19,060

Implied provision coverage (PCR) = (GNPA − NNPA) / GNPA, computed by the engine from the reported ratio pair; it approximates the disclosed PCR (technical write-offs are excluded from disclosed PCR, so small gaps are expected). Persistence of the winning divergence: **8 quarters**; engine score **16.7** (persistence × |drift| / σ). Band: implied PCR below 70.3% (first-4-quarter mean 73.3% minus 3pp) counts as a break. † One-off-flagged quarters (expense/other-income outliers, excluded as persistence evidence for flow-based pairs): Mar-2024, Jun-2025.

Also flagged by the scan (not headlined): Interest cost burden — funding-cost relief — persistence 3 qtrs, score 6.5; Revenue growth vs net-profit growth — persistence 3 qtrs, score 5.5.

Funding-mix context (annual, Screener balance sheet): Mar 2023: borrowings were 11.0% of deposits; Mar 2024: borrowings were 27.8% of deposits; Mar 2025: borrowings were 20.2% of deposits; Mar 2026: borrowings were 15.8% of deposits — the inherited wholesale funding of the merger is being worked down as deposits compound.

3 TIMELINE — WHEN THE RELATIONSHIP BROKE

Sep-2023	Panel opens on the merged entity: GNPA 1.34%, NNPA 0.35%, implied coverage 73.9%.
Dec-2024	GNPA peaks at 1.42%. Implied coverage has already crossed below its early-panel band (change-point: Sep-2024) and never returns.

Jun-2025	Net NPA peaks at 0.47% even as the gross ratio is already off its high -- the pair visibly decouples.
Jun-2026	Latest quarter: GNPA 1.17%, NNPA 0.41%, implied coverage 65.0% -- a 8-quarter run below the band.

4 EVIDENCE — AUDITABLE TRAIL

- [b] **Quarterly panel: revenue, interest, expenses, other income, net profit, GNPA %, NNPA % (13 quarters)**
  Screener.in — HDFC Bank standalone quarterly results table (public rendering of statutory results) — https://www.screener.in/company/HDFCBANK/
  Parsed live. Latest quarter in panel: net profit Rs 19,060 cr, GNPA 1.17%, NNPA 0.41%.
- [b] **Structural break: Jun-2023 quarter is the pre-merger bank; panel starts Sep-2023**
  Screener.in — HDFC Bank consolidated quarterly results table — https://www.screener.in/company/HDFCBANK/consolidated/
  Consolidated parse shows the same step-change in scale from Sep-2023 (HDFC Ltd merger, effective 1 Jul 2023), confirming the break in the standalone parse.
- [d] **Jun-2026 figures corroborated independently of the parse**
  Financial Express — 'HDFC Bank Q1FY27 net profit rose to Rs 19,060 crore, NII up 7%' — https://www.financialexpress.com/business/banking-finance-hdfc-bank-q1fy27-profit-rises-5-nii-grows-7-4295549/
  Reports standalone PAT Rs 19,060 cr, NII Rs 33,534 cr, GNPA 1.17%, NNPA 0.41% for Q1 FY27. Panel computes NII = revenue - interest = Rs 33,534 cr and PAT Rs 19,060 cr -- exact match.
- [d] **Absolute bad-loan stocks: gross NPA stock shrinking, net NPA stock not**
  The Hindu — 'HDFC Bank Q1 net profit grows 5% to Rs 19,060 crore' (from the bank's filing) — https://www.thehindu.com/business/hdfc-bank-q1-net-profit-grows-5-to-19060-crore/article71238080.ece
  Filing figures: GNPA Rs 35,846 cr (-3.22% YoY), NNPA Rs 12,357 cr (+0.65% YoY) at Jun-2026. Coverage implied by these absolutes = (35,846-12,357)/35,846 = 65.5%, matching the panel's ratio-implied 65.0% within ratio rounding. Also: GNPA ex-agriculture 0.91%, CAR 19.6%.
- [d] **Provisioning context: latest-quarter provisions far below the year-ago quarter**
  NDTV Profit — 'HDFC Bank Q1 Results: Net Profit Rises 5% As Provisions Decline; Asset Quality Worsens' — https://www.ndtvprofit.com/markets/hdfc-bank-q1-results-net-profit-rises-5-percent-as-provisions-decline-asset-quality-worsens-11788116
  Provisions Rs 3,060 cr in Q1 FY27 vs Rs 14,441 cr in Q1 FY26 (-78.8% YoY); sequential GNPA/NNPA upticks noted in the headline itself.
- [calc] **Implied provision coverage = (GNPA% - NNPA%) / GNPA%, computed per quarter**
  DIVERGENCE metric engine (pandas) over the parsed panel — https://github.com/millerthehacker22307/divergence-financial-research-agent
  Deterministic identity applied to reported ratios; reproducible from examples/panel_HDFCBANK.csv committed with this note's run.
- [ctx] **Market context: share price over the panel window**
  Yahoo Finance — HDFCBANK.NS monthly closes — https://finance.yahoo.com/quote/HDFCBANK.NS
  Fetched via yfinance; latest monthly close Rs 727. Context only — class 'ctx' never counts toward the evidence-strength grade.

5 COUNTERARGUMENT — THE STRONGEST CASE AGAINST

The strongest alternative reading is mix and mechanics, not hidden stress. The merged book is heavily secured (mortgages, LAP, auto), where expected loss-given-default is low and a lower coverage ratio is economically rational; technical write-offs of fully-provided legacy accounts mechanically compress both GNPA and the implied coverage without any new stress; and the bank holds floating and contingent provisions outside this ratio -- the Mar-2024 quarter's expense spike in the panel (Rs 31,480 crore) is the visible footprint of that buffer-building. On this reading, 0.41% net NPA remains among the lowest of any large Indian bank, GNPA excluding the seasonal agriculture book was 0.91% in the latest filing, and the 'thinning cushion' is an accounting artefact of a safer book. The MVP cannot fully separate mix from stress with public quarterly data alone -- which is why the finding is graded Moderate, not Strong.

6 FALSIFICATION CONDITION

This finding is retired if, for two consecutive quarters, implied provision coverage rises back to >= 70% while GNPA stays <= 1.25% (the buffer is being rebuilt), OR net NPA falls to <= 0.35% with GNPA stable or falling (net stress genuinely clearing). It is also retired if the bank discloses that the coverage decline is wholly explained by technical write-offs of 100%-provided accounts whose recoveries are tracking at or above LGD assumptions.

Method & scope (MVP): one pipeline run on one Track A company, produced end-to-end by the code in this repository — panel built from public Screener.in renders of the statutory results (standalone basis; the Jun-2023 pre-merger quarter is excluded as a structural break), cross-checked against independent filing coverage; Yahoo Finance price history is fetched as market context only. The full system (filing-PDF parsing, peer panel, every Track A company) is the finals build described in the Round 1 report. All figures are reproducible from the committed panel CSV. This note is a research hypothesis with a stated falsification condition — **not investment advice**.